

DTB Kenya Ltd: HY'22 Earnings Note

DTB Kenya HY'22 EPS and PAT edged up 22.30% to **KES 12.82** and **KES 3.58Bn**, respectively. Net earnings increase was driven by a 14.45% y/y jump in Total operating income to **KES 15.05Bn** supported by non-interest income and income from Government securities. Customer deposits grew 10.42% to KES 346.49Bn while the loan book grew faster at 14.34% to **KES 233.62Bn**, taking the loan-to-deposit ratio up 231bps to 67.42%**.**

As we have observed in other listed banking sector HY'22 earnings releases, the effect of the rising yield curve on the mark-to-market for-sale government securities has contributed to fair value losses for most lenders. DTB-K's FV loss compared to the FVOCI assets was at -2.01% compared to a gain in HY'22.

- **Net Interest Income growth lags Non-Funded Income:** Net Interest Income increased 13.33% to **KES 11.13Bn** mainly driven by a 22.41% jump in income from government papers. Non-funded income came in at **KES 3.92Bn** (+17.78% y/y growth) leading the revenue mix to shift to 74:26 for NII:NFI from 75:25 in HY'21. Cost of deposit mobilization increased faster, as seen in the 46bps jump in the cost of funds to 4.50% highlighting the competitive yields environment. Yields on assets were up 12bps to 9.00% largely from higher interest from loans and government papers adding further margin pressure as the Net Interest Margin (NIM) declined to 4.85%.

- **Faster Operating expenses growth worsens efficiency:** The CTI ratio worsened 81bps to 46.12% despite enhanced digital transactions with Kenya being above 90.00% in transactions outside the branch. We can also attribute the increase to a faster growth in Total Operating Expenses less of impairment charge (+16.44% y/y to **KES 6.94Bn**) compared to a 14.45% growth in Total Operating Income. Loan loss provisioning increased 5.22% y/y to **KES 2.43Bn** (+317.81% q/q) indicating a perception of increased lending risk and exposure to slower recovering pandemic affected sectors. Additionally, the bank's plan to open 20 new physical branches in 2022 and another 20 by 2024 is the likely driver of a 19.12% increase in staff cost to **KES 2.88Bn** and 20.30% increase in other operating expenses to **KES 2.95Bn**.

- **Asset quality concerns persists:** Gross NPLs increased by 43.02% y/y to **KES 31.77Bn**. NPL ratio increased by 243 bps to 12.82% from 10.39% in HY'21 below the current industry average of 14.70%, driven by exposure to sectors lagging in economic recovery. NPL Coverage improved to 44.24% from 41.77% in HY'21. Improving economic conditions have created a better operating environment with approval of the risk based models set to improve asset quality.

26th August 2022

Current price: KES 50.00

Target price: KES 60.02

Upside: 20.04%

Recomm: BUY

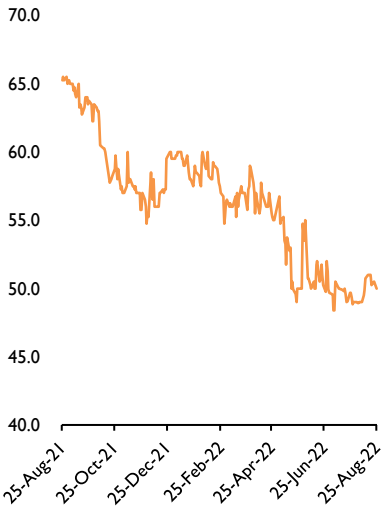
52 Week High: KES 65.50

52 Week Low: KES 48.80

YTD Performance: -15.97%

EPS (HY'21): 12.82

DTB-K 1 -Year Share Price Movement



Outlook

The lender's results were driven by strong growth in non-interest income supported by Interest income from government securities. Loan loss provisioning and the gross non-performing loans increase points to a depressed operating environment given the exposure to sectors lagging recovery, global and local macro factors and risks associated to the local general lections. Push to open more physical branches is likely to continue increasing the Cost to Income ratio worsening the company's efficiency.

The counter is currently trading at a PE of 3.58x (below market valuation PE at 7.70x) with a P/TB of 0.21x (below industry average P/TB of 0.93x). We will continue monitoring the market for a good entry opportunity. However, the perennial low ROE of 6.46%, lower than most industry peers and the lack of an interim dividend are likely to provide a minimal upside potential.

Table 1 : Financial Statement Summary

Income Statement	FY18	FY19	FY20	H1'21	FY21	HY'22	% y/y Change
Net Interest Income	20.02	18.71	18.08	9.82	19.99	11.13	13.33%
Net non-Interest Income	5.43	5.77	6.12	3.32	6.31	3.92	17.78%
Total Operating income	**25.46**	**24.48**	**24.20**	**13.15**	**26.30**	**15.05**	**14.45%**
Provision for Impairment	(2.98)	(1.32)	(7.32)	(2.31)	(7.56)	(2.43)	5.22%
Total Operating expenses	(14.49)	(13.22)	(19.67)	(8.27)	(19.88)	(9.37)	13.35%
Profit before tax	**11.00**	**11.26**	**4.67**	**4.88**	**6.63**	**5.62**	**15.18%**
Profit after tax	**6.69**	**6.79**	**3.25**	**2.93**	**3.91**	**3.58**	**22.30%**
Core EPS	25.83	26.00	11.61	10.48	13.98	12.82	22.33%
DPS	2.60	2.70	-	-	3.00	-	

Balance Sheet	FY18	FY19	FY20	H1'21	FY21	HY'22	% y/y Change
Government Securities	117.33	132.46	148.38	138.82	168.98	174.68	25.83%
Loans and Advances	193.07	199.09	208.59	204.33	220.43	233.62	14.34%
Total Assets	**377.72**	**386.23**	**425.05**	**429.58**	**456.84**	**485.04**	**12.91%**
Customer Deposits	282.86	280.19	298.17	313.80	331.45	346.49	10.42%
Total Liabilities	318.78	321.71	356.74	357.45	382.29	408.43	14.26%
Shareholder's Funds	**53.66**	**58.85**	**61.97**	**65.36**	**67.29**	**68.89**	**5.40%**

Key Ratios	H1'21	H1'22	y/y change
Yield from assets	8.88%	9.00%	0.12%
Cost of funding	4.04%	4.50%	0.46%
Net Interest Margin (NIM)	5.16%	4.85%	(0.31%)
Cost to Income Ratio	45.31%	46.12%	0.81%
NII/Total Operating Income	74.71%	73.98%	(0.73%)
Non- Performing Loans (NPL)	10.39%	12.82%	2.43%
Loan to Deposit Ratio	65.11%	67.42%	2.31%
Return on average equity	6.42%	6.46%	0.04%
Liquidity Ratio	60.30%	58.90%	(1.40%)
Core Capital/TRWA	21.70%	20.00%	(1.70%)
Total Capital/TRWA	23.20%	21.20%	(2.00%)

Source: Company Fillings, AIB-AXYS



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